

9708 JUNE 2019 V13

1-D:

Opportunity cost is the real cost of choosing one thing and not the other , that is, it the “value of the next best alternative foregone”

- A- Opportunity cost does not involve all the other things that could have been purchased, instead it is a “ choice between two”.
- B- The cost of getting to the sports shop is also “not a choice”
- C- The current value of his old pair of shoes is not the opportunity cost, since we are asked about the “choice that results from the 20-dollar purchase”
- D- This is correct as “opportunity cost” is the next best thing that could have been purchased, which cannot be purchased now.

2-B:

A: This is incorrect, even though in the long run, “all factors of production can be varied”, the problem is with the statement defining “the short run”, as in the short run, not all of the factors of production, but “at least one of them is fixed”

B: This is correct as in the “short-run”, at least one factor of production is fixed, whereas in the long run , all factors can be varied

C: This is in correct as in the short run , at least one of the factors is “**fixed**”, as compared to the long run, in the case of which, all factors can be varied.

D:Again, this is incorrect as in the short run, at least one of the factors is “fixed” , as compared to the long run, in the case of which, all the factors can be varied

3-A:

Any point along the **boundary of the production possibility curve**, represents that an “economy is operating on the potential”, which means that “**existing resources are fully employed**”. This also involves technology being fully utilized as a point on the PPC curve represents “full-employment of resources”

This is why, option A becomes “correct”

4-B:

:The government of Tokyo **should adopt a policy of taxation to reduce traffic , represents a “normative statement”, which is subjective and represents a value judgement or a “subjective opinion that taxation will reduce traffic”**

Secondly, the fact that this “economic policy” will affect individuals represents that “this is a micro policy”

5-A:

A: In case of a “market disequilibrium” that is a surplus or a shortage , prices will adjust to achieve the equilibrium. As for example: in case of “shortages”, prices rise , which leads to a contraction in qty demanded as now only those with sufficient willingness or ability or in other words “effective demand” will be left to purchase the good(**this is how prices ration scarce goods**), and an extension in qty supplied , that will lead to equilibrium being achieved.

Similarly , in case of a “surplus”, prices fall, and this results in an extension in qty demanded , and a contraction in qty supplied, resulting in an “equilibrium being restored”. This is why, this becomes correct.

B: “Supply being equal to demand” represents equilibrium

C: The government may not necessarily intervene to correct a “disequilibrium”, as the market forces, or in other words, price-mechanism will act in itself , to achieve the equilibrium

D: It is not necessary that “there must be shortages” , as there can be “ surpluses” as well.

6-B:

As incomes of the rich increase, this will lead to a rise in demand for luxury watches that are “normal goods”

Similarly, a rise in the manufacturing costs of watches, will cause a “fall in the supply of watches”

This will lead to the new equilibrium point of “B” being achieved from “X”

7-D:

Q_D	Q_S
$\hookrightarrow 400 - 20P$	$\hookrightarrow 100 + 40P$
$400 - 20(5)$	$\hookrightarrow 100 + 40(5)$
$400 - 100$	$\hookrightarrow 100 + 200$
$\hookrightarrow 300$	$\hookrightarrow 300$
$\Rightarrow Q_D = Q_S \text{ (equilibrium)}$	

8-B:

A: When the firm finds it difficult to recruit labor due to shortages of labor, also considering the fact that this will put an upward pressure on the wage rates as well, the ability of firms to respond to a rise in demand will be limited, making the **supply inelastic**.

B: When the firm has a large quantity of stock of finished goods, this represents an increase in the ability of a firm to respond, as upon a rise in demand, these stocks can be released to cater the "increased demand", thus making **the supply elastic**

C: In the short-run, majority of the factors of production are fixed in most cases, if not all, then at least one is fixed, and in general cases, it is capital that cannot be varied, which will decrease the ability of firms to respond, making **the "supply inelastic"** in response to changes in demand

D: If the firm is operating "near to full capacity", this represents that there is less "spare capacity available", which means that output can not be increased easily in response to changes in demand "**making the supply inelastic**"

9-C:

The slope of the demand curve is “very steep”, which represents that “the demand is inelastic”

And since, after extending the line of the “supply curve”, it will touch the vertical y-axis, this represents that “the supply is elastic in response to changes in demand”

10-A:

10 The table shows the demand schedule for avocados in a market on a particular day.

The supply of avocados was fixed on that day.

\$ per avocado	quantity demanded
2.60	500
2.40	640
2.20	740
2.00	820
1.80	900

Qs
490
650
810
890

→ excess demand 500 > 490 = 10 avocados
 → excess supply 650 > 640 = 10 avocados.
 → excess demand of 10 avocados
 → excess demand of 10 avocados.

Which statement is correct?

- ☒ A If the supply was 490, at a price of \$2.60 there was an excess demand of 10 avocados. ✓
- ☐ B If the supply was 650, at a price of \$2.40 there was an excess demand of 10 avocados. ✗
- ☐ C If the supply was 810, at a price of \$2.00 there was an excess supply of 10 avocados.
- ☐ D If the supply was 890, at a price of \$1.80 there was an excess supply of 10 avocados.

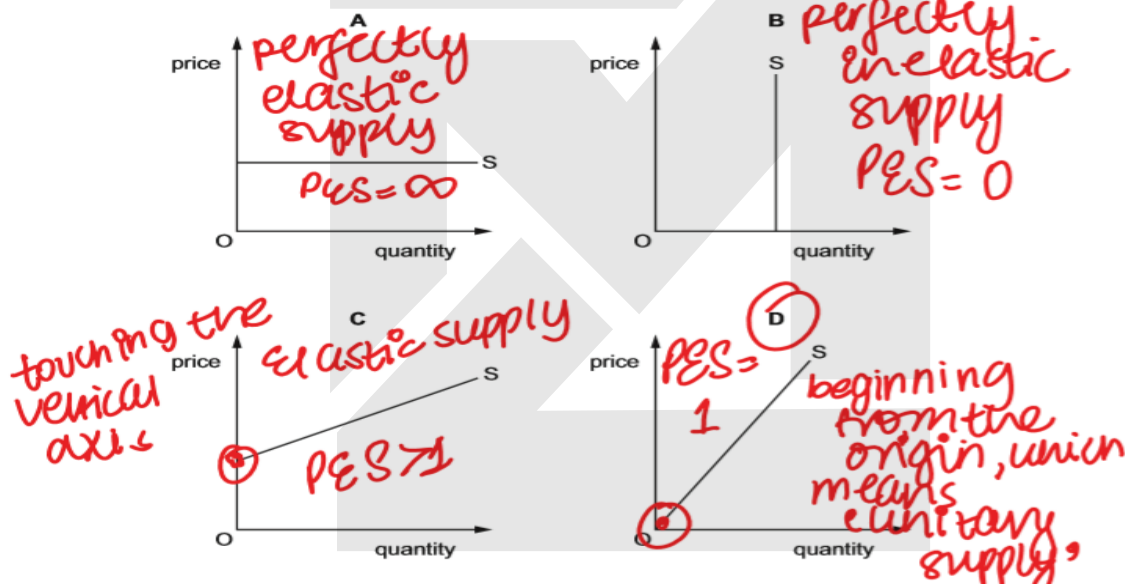
11-B:

We are interested in an option that causes a “rightward shift in the demand curve” and a “leftward shift in the supply curve”

- A- A fall in household disposable incomes would lead to a fall in the demand for normal goods causing a leftward shift in the demand curve. Similarly, a rise in interest rates would increase costs of borrowing and therefore reduce borrowing to “purchase big-ticket items” such as :luxurious goods or in other words, normal goods, leading to “a decrease in demand”
- B- A rise in workers’ real wages will firstly increase purchasing powers, contributing to a rise in the “demand for normal goods”. And secondly, after having increased the costs of production of firms, as labor costs form the greatest proportion of the total costs of firm, this will lead to a “ fall in supply”. This is why, this option becomes correct.

- C- An increase in income tax will reduce the disposable income causing a fall in purchasing powers, in turn contributing to a fall in demand for normal good. And since a specific tax being levied will increase costs of production, this will lead to a “fall in supply”
- D- An increase in the price of a substitute for X, will cause a “rise in the demand for the good X”, as consumers will switch to good X, because of a positive relationship between the price of one good and the demand for another in case of substitutes. Whereas, a fall in the costs of production will cause a “rise in the supply of the good”. Overall, this option becomes “in correct”

12-D:



13-C:

We are interested in an option that will cause a “rightward shift in the demand curve”

A: A fall in the price of electric cookers will cause “a movement along the demand curve”

B: An increase in “specific tax on electric cookers” will cause a decrease in supply of cookers.

C: An increase in the “number of households” will lead to a rise in demand for electric cookers, thus making this correct

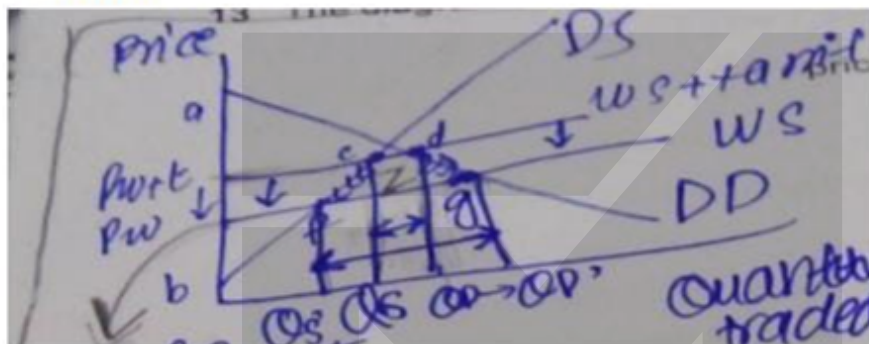
D: An increase in the price of electricity, that is, a complement to electric cookers will lead to a fall in the demand for electric cookers, making this in correct.

14-A:

A: This is correct because it shows the area which is per unit subsidy multiplied by new equilibrium quantity, therefore representing the cost to the government of a subsidy to rice growers.

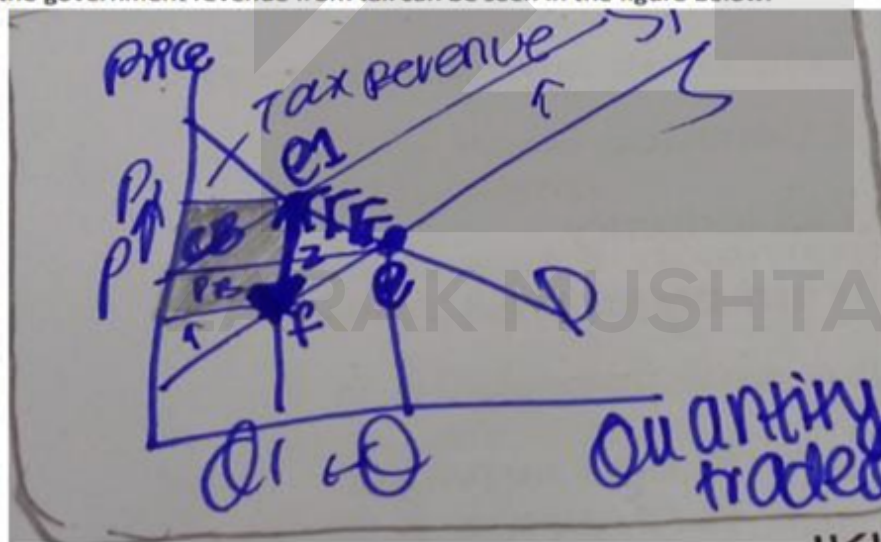
B: This does not represent the extra savings to importers after a removal of tariff.

The extra savings to importers can be seen in the diagram of trade creation. (the savings be inform of the tax revenue that will now not have to be paid shown through the region "Z") as can be seen in the diagram below.



C: After the introduction of maximum price, firstly, the supply does not increase, and secondly, the area "JKLM" does not show an increase in consumer surplus.

D: This does not represent a loss in government revenue from taxation after a tax on rice is reduced, and the government revenue from tax can be seen in the figure below.



15-C:

A: This statement which says that due to profit incentives, private firms are “motivated to make the best use of their resources” is a statement that supports “privatization”

B- Secondly , the fact that privatization creates competition , which in turn increases productivity of firms is again a claim that favors privatization.

C- This is a disadvantage of “privatization” as this says that this leads to monopolies being formed, which exploit consumers, thus making this correct.

D: Selling off state owned enterprises to private individuals helps raise revenues which can help correct a deficit , is another advantage of “privatization”

16-C:

A: Transfer payments are payments made without receiving goods or services in exchange, and without **any contribution made to the output.**

If the govt introduces financial support for “university students”, this will increase the burden of transfer payments

B: Adjusting pensions to inflation would again increase the burden of transfer payments

C: Importantly, if the retirement age is raised, this will reduce the amount of retirees in the short run, helping to reduce the payments of “pensions”, therefore decreasing the “transfer payments “that have to be paid.

D: In this case, spending on transfer payments will be the same, which means that “the burden remains the same”

17-D:

A and B: Effect of incomes is not asked, instead we are interested in knowing the effects of changes in prices, since taxes raise prices

C: If the demand for sugary drinks is price elastic, a rise in prices as a result of tax will cause a contraction in qty demanded by a relatively higher percentage, making it “effective in improving public health”

D: If the demand is price-inelastic, a rise in prices even by a higher percentage, would lead to a contraction in qty demanded by a relatively smaller percentage, **making it less effective in improving health**

18-A:

Here, we are interested in an option that causes a “rightward shift in the Aggregate demand curve” and in turn a “rise in general price level”

- A- A boom in consumer spending after having increased consumption expenditure would “stimulate a rise in Aggregate demand”, thus making this correct
- B- Higher taxes on company’s profits would reduce retained earnings and in turn reduce investment expenditure, leading to a “fall in Aggregate demand”
- C- A reduction in government financed projects would directly reduce Aggregate demand as govt spending is a component of Aggregate demand.
- D- A rise in the costs of raw materials will increase costs and in turn decrease Aggregate supply.

19-B :

A high rate of inflation benefits “borrowers” since they have to pay less in terms of purchasing power of money. Whereas, it harms “lenders” since they receive money with a lesser purchasing power.

Now, in this case, since the “inflation is lower than expected”, the effects will reverse, that is, “lenders will be benefitted and borrowers will be harmed”

20-D:

For depreciation to be beneficial, the sum of “elasticities of demand for imports and exports must be greater than 1, according to the “Marshall Lerner Condition”, thus making option D correct only.

Option B must not be confused with, since in actual, it is the “sum of elasticities of demand of exports and imports” that must be greater than 1.

21-B:

A change from a surplus to a deficit in the current account , for example , due to a Balance of Trade deficit, that represents a situation where by the export revenues are lesser than import expenditures, represents “net leakages” from the circular flow, which will reduce Aggregate demand, which results in a fall in production , demand for labor and in turn a decline in employment, as a result of which the **GDP falls**.

Similarly, a deficit represents more outflows (payments) relative to inflows(receipts), and when demand for currency falls relative to supply of currency, there is a **depreciation of the exchange rate**.

This is why, option B becomes “correct”.

22-D:

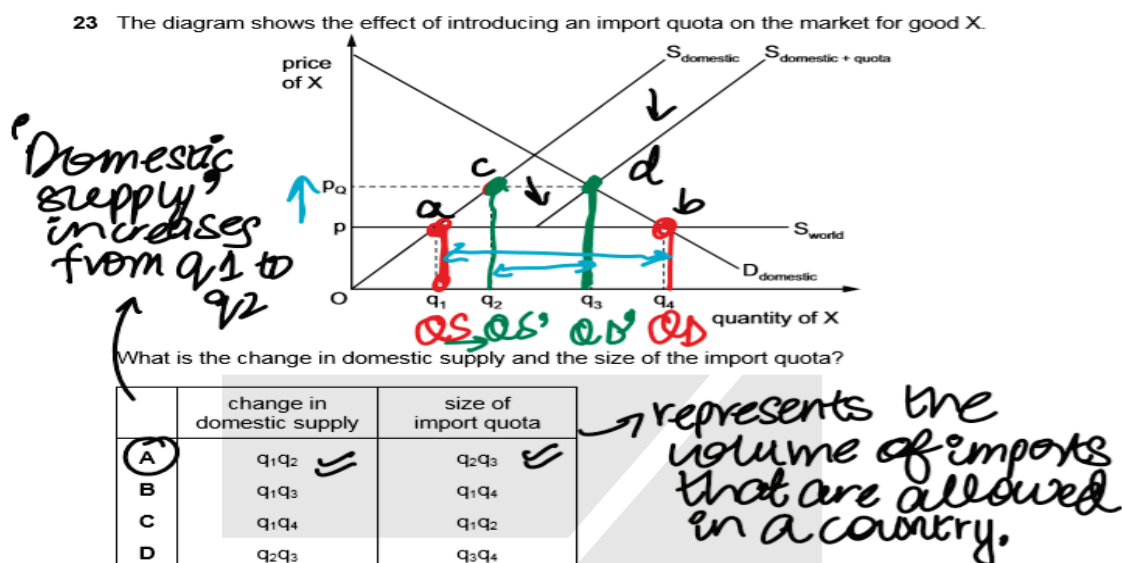
A: A reduction in consumer saving would lead to a rise in spending as a proportion of household disposable income, which will increase “consumption expenditure”, subsequently leading to a “rise in Aggregate demand”

B: A reduction in direct taxes apart from increasing the disposable incomes , and increasing the purchasing powers, would result in a rise in “consumption expenditure”, and in turn Aggregate demand

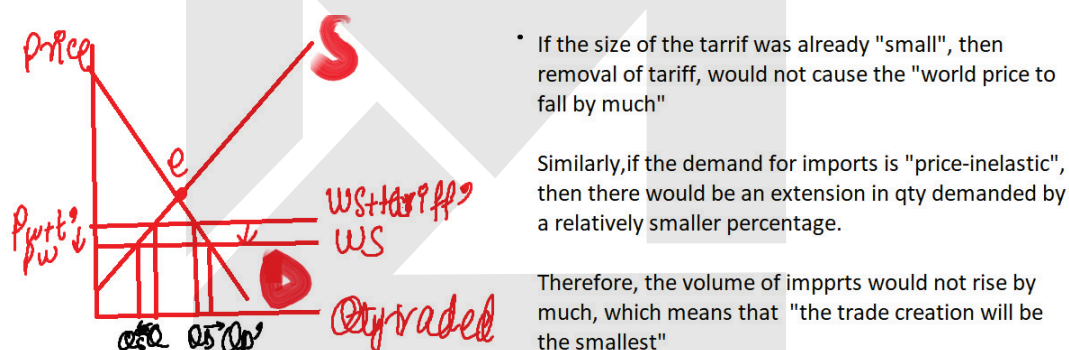
C: A reduction in imports represent that individuals are switching to domestic consumption, which would lead to a rise in Aggregate demand.

D: A reduction in investment, when reduce injections from the circular flow, will lead to a fall in “Aggregate demand”, making this the answer.

23-A:



24-C:



This is why, option C will be the answer.

25-C:

An Australian family purchasing a holiday to New Zealand represents an outflow in trade of services section, this means that "there will be an import of services" in the Balance of Payments of Australia

Since, an Australian mining company sells "coal to China", this represents "an export of good".

This is why, option C becomes correct.

26-B:

During a period of rapid inflation, the general price level of goods and services in an economy is increasing at a high rate. This means that the purchasing power of money is decreasing rapidly over time, and any store of value that is not able to keep up with inflation will lose its value.

Option B, fixed interest government securities, is likely to be the least effective store of value during a period of rapid inflation. This is because fixed interest securities, such as bonds or other debt instruments issued by the government, have a fixed interest rate that is set at the time of issuance. If the rate of inflation increases rapidly, the fixed interest rate on the securities will become less valuable, and **because of a fall in real interest rate or a negative interest rate**, the return on the investment will be reduced, thus making this correct.

Option A, antique furniture, may be a good store of value during a period of rapid inflation. This is because, as the general price level of goods and services increases, the value of antique furniture may also increase. This is particularly true for items that are in high demand and that have a limited supply.

Option C, houses, may also be a good store of value during a period of rapid inflation. This is because houses are generally considered to be a long-term investment, and the value of the investment may increase over time.

Option D, shares of industrial companies, may be a good store of value during a period of rapid inflation. This is because the value of shares may increase along with the general price level of goods and services. However, the effectiveness of shares as a store of value during a period of rapid inflation may depend on the specific industries and companies in which the shares are invested.

27-A:

A- An increase in budget deficit represents that government spending has increased relative to tax revenues, and because of a “rise in government spending” that represents injections in to the circular flow, there will be a “rise in Aggregate demand”. This is why, this is correct.

B- A rise in consumer savings represents a fall in consumption, and in turn a reduction in Aggregate demand.

C- A rise in general price level after having reduced real incomes would decrease “consumption”, and in turn Aggregate demand.

D- Similarly, a rise in interest rates after having increased costs of borrowing, would reduce investment expenditure, contributing to a fall in Aggregate demand.

28-D:

- A- An increase in exchange rate ,or in other words, appreciation of the exchange rate , after making exported goods relatively expensive and imported goods relatively cheaper in the long run when the demand for imports and exports is elastic would result in a contraction in qty demanded of exported goods by a relatively higher percentage, and an extension in qty demanded of imported goods by a relatively higher percentage, leading to a fall in export revenues relative to import expenditures, causes a “Balance of Trade deficit”
- B- A reduction in income taxes would lead to a rise in disposable incomes and in turn increase purchasing powers and consumption on imported goods as well, which will lead to a “worsening effect on the deficit”
- C- A reduction in primary incomes received represents less inflows in the current account , as a result of which , the deficit will exacerbate.
- D- An attempt to **subsidize domestic producers will lead to export-oriented commodities becoming relatively competitive, leading to an increase in export revenues, which when increase inflows in the current account, will help to “reduce the deficit”**

29-C:

- A: If policy makers take a lot of time to recognize the cause of the problem, the government would not be able to achieve a “rapid domestic impact”
- B: If participants of an economy take a lot of time to respond to the “policy”, the government would not be able to achieve a “rapid domestic impact”
- C: Changes in the “foreign exchange rate or currency” **will impact trade and the question refers to rapid domestic impact, thus making this correct**
- D: If policy makers take a lot of time to put the policy measure in effect , the government would not be able to achieve a “rapid domestic impact”.

30-C:

A and D: Monetary policy involves the govt using money supply, interest rate or exchange rate to manipulate Aggregate demand.

Cutting the interest rate, and devaluation will be “monetary policy”

B: Fiscal policy involves govt using taxation and govt spending to manipulate Aggregate demand. Cutting income taxes will be “fiscal policy”

C: Govt’s decision to build more schools as a part of “education and training policy”, will increase the productive potential, I.e. the Long Run Aggregate Supply of an economy, thus making this correct.